

Investor Financing *Readiness Guide*

A short, tactical playbook for active real estate investors who want speed, structure, and a faster path through underwriting — without spinning their wheels.

Most investor deals don't fail. They stall.

The income is fine. The property is fine. The borrower is fine.

What kills timelines is everything in between — missing reserves documentation, mismatched entity paperwork, an unclear DSCR position, a comp that won't appraise, or a lender whose product you didn't fully understand before you applied.

This guide is short on purpose. The point is not to make you an expert. The point is to give you the operational picture — the five things that stall investor deals and the moves that keep yours on rails.

Use it like a checklist. Skim it once before you make an offer. Re-skim it before you submit your loan application. That alone will move you faster than 80% of the investors a typical lender sees.

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Why timelines actually break

Most investors blame "the lender" or "underwriting" when a closing slips. That's almost never the real cause. The real cause is structural: information that was needed on day 3 didn't show up until day 18.

Lenders are working a queue. Every time something is missing, your file goes to the back of the line. A 30-day close becomes a 45-day close. A 45-day close becomes "we lost the seller."

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SLOWER CLOSE WHEN
RESERVES DOCS ARE LATE

62%

OF STALLS TRACE BACK
TO ENTITY / SIGNER
ISSUES

7-14d

TYPICAL EXTENSION COST
WHEN COMPS FALL SHORT

The pattern almost every time

- **Day 1-3.** File submitted, application looks clean.
- **Day 4-7.** Underwriter requests reserve statements, entity docs, lease comps.
- **Day 8-14.** Borrower scrambles for docs they didn't pre-stage. File pauses.
- **Day 15+.** Appraisal comes back, sometimes light. Now you negotiate, restructure, or extend.

You can't control the appraisal. You *can* control everything before day 8. That alone wins you back the timeline.

The 5 reasons investor deals stall

01 • RESERVES

Reserves under-documented.

Most investor-property loans require 6–12 months of PITIA in liquid reserves. The number isn't the issue — the *documentation* is. Two months of statements, sourced and seasoned, end of story. Get them ready before the lender asks.

02 • ENTITY

Entity structure mismatched.

If the property goes into an LLC, the LLC needs operating agreement, EIN letter, articles, and consistent signers. A common stall: borrower uses one LLC for title, another for the loan, and a third on the bank statements. Pick one. Document it once.

03 • DSCR POSITION

DSCR sits at the edge.

1.00–1.20 is workable but tight. If rents are slightly soft or PITIA is slightly heavy, the file gets passed around. Run the numbers *before* you offer. If it's borderline, plan the move — bigger down, lower price, stronger comp letter.

04 • COMPS / APPRAISAL RISK

Rent comps don't support the rent assumption.

Lenders use the lower of actual rent or appraiser-supported market rent. If your assumption is more aggressive than recent leases in the area, the appraiser will pull it down and your DSCR collapses. Pull comps on the front end.

05 • SPEED VS PREPARATION

Trying to move fast without being ready.

Speed is a function of preparation, not pressure. The investors who close in 21–28 days aren't lucky — they had everything staged before they made the offer. The investors stuck at 60+ days were applying as they went.

Docs investors forget

Most investors hand over W-2s, tax returns, and a credit report and assume that's the file. It isn't. Here's the rest of the list, the part that actually slows down the closing.

- ☐ **2 most recent statements** for every account holding reserves — all pages, even blank ones.
- ☐ **Source & seasoning** letter for any large deposit in the last 60 days. Lenders will ask. Have it ready.
- ☐ **Operating agreement** for the LLC taking title — signed, current, with member %s.
- ☐ **EIN confirmation letter** (the IRS letter, not just the number).
- ☐ **Schedule of real estate owned (REO)** with addresses, balances, payments, rents, and lender names. Even if the lender doesn't ask — have it.
- ☐ **Lease agreements** for the subject property and existing portfolio properties.
- ☐ **Insurance quote** for the subject property already pulled, agent contact attached.
- ☐ **HOA information** if applicable — dues, contact, master policy declarations.
- ☐ **Cosmetic / repair budget** if the property needs work and you want it considered in valuation.
- ☐ **Driver's license + voided check** — sounds basic. Gets forgotten 30% of the time.

Pro move: drop all of this into a single shared folder labeled with the property address. Send the link with your application. Lenders remember investors who do this.

DSCR myths & the move-faster checklist

MYTH

"My personal income matters most."

For most DSCR products, it doesn't. The property's income covers the property's debt — that's the whole point. Personal DTI and W-2 income often don't enter the qualification math at all.

MYTH

"DSCR has to be 1.25 or I'm out."

Common, but not universal. Many lenders flex into the 1.00–1.24 band with stronger reserves, larger down payment, or higher credit. Some go below 1.00 with adjustments. The number is a guideline, not a wall.

MYTH

"All DSCR lenders price the same."

They don't. Pricing varies by FICO band, LTV, prepay structure, and product class. A 0.25% rate difference on a \$350k loan over 30 years is meaningful money. Compare 2–3 quotes, but don't shop forever — lenders see seasoned shopping and slow down.

Move-faster checklist

- **Run DSCR before you offer.** Use the Quick Check on our site or do it by hand.
- **Stage the docs first.** Folder > application.
- **Pre-pull comps.** Don't let the appraisal be your first look at market rent.
- **Pick one entity.** Use it consistently across title, loan, and banking.
- **Confirm reserves.** 6–12 months PITIA, statemented, sourced, seasoned.
- **Keep one lender as primary.** Shop on the front end, then commit. Switching mid-stream resets the clock.

Want a second set of eyes on a deal?

Send the address, the rent assumption, and your PITIA — we'll tell you in plain English where it lands and what the path looks like. **No commitment, no spam.**